Key Prices

Level: Advanced

Prerequisites: #1 – Basic Strategy

#7 – Swing Trading with MoM

Intro

Key prices now appear right in the daily charts, which you can always see by hovering or tapping on a stock ticker, or in the Charts tab.

When we first introduced key prices in 2023, we called them “price targets”, but that causes some confusion with the price targets that brokerage houses and stock advisors put out to their clients and to the public.

Price targets given by brokerage houses are an opinion or prediction where a stock price is going in the next 6 or 12 months. Typically their price targets are based on fundamental analysis and expectations for the company, or on the economy in general.

Also, price targets have been used to manipulate the market, which is a practice we would rather not be associated with. More on that in this link:
https://x.com/i/grok/share/m3NvPmVjz2RV8khO3jVOqAMcS

Hence the name change.

How key prices are different.

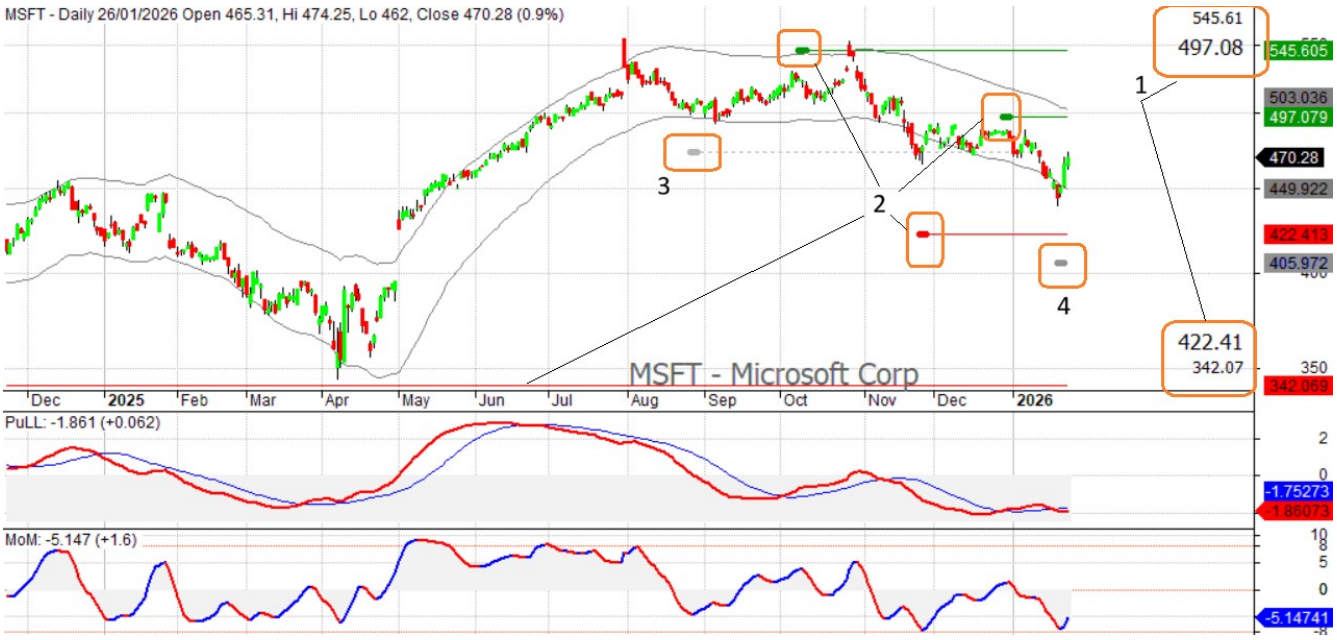
Key prices (short: KP) are a direct by-product of the algorithms we use to calculate the reversal level and the MoM indicator. So, they have nothing to do with fundamental analysis and are not a price prediction.

A way to understand the concept is by comparing it to an outdoor swing on a children’s playground. During each forward swing move we could measure the speed/momentum, and then use that to estimate how high that swing move can theoretically go (provided that no other forces interrupt). And we could do the same on each backswing that follows. We would also notice if the swings are getting bigger or smaller over time.

The stock market is a rather unpredictable and complex swing machine. With each significant upswing or downswing we can calculate a maximum reach of that move, based on

measurable momentum factors. That's what determines our key prices, which become special points of interest when they are visited later on.

A picture says more than a thousand words, so let's start with explaining what appears in a KP chart. Here is MSFT:



- The nearest key prices are shown numerically, in the top and bottom right corners. (1)
- They also appear as green and red lines above and under the recent price action.(2)
- A grey dashed line shows the most recently eliminated key price. (3)
- A blueish grey dot and line indicates a newly forming, but still unconfirmed, key price. (4)

A wide dot indicates when a where a given KP appeared. Sometimes that predates the start of the chart, as is the case with the bottom red line here.

We can study how prices behave near those levels. And we can study what happens after a KP level is broken and the next one(s) get the focus.

A KP is broken when it is exceeded by more than 1 or 2% on a closing basis. It varies a bit with the volatility of each stock. A broken level becomes the new grey dashed line in the chart and so it continues. This is all we need to know for now. Let's go on to more examples to show how this comes together.

Typical KP situations

Sticking with the example of MSFT:

When a KP level gets tested it will often act as support or resistance. In Oct we see how the KP at $545 was reached, but not broken, and the stock reversed.

The dashed grey line was still in effect at that time and was tested next in Nov and Dec. Each time prices veered back up, but in early Jan that KP gave way. The current red KP at $422 was not reached yet. That may still happen in the future, but right now this stock is in a new upswing and may try to reach the first overhead KP at $497. This is how we can watch the swings unfold between different key price levels.

So, a first important use of key prices is as potential support and resistance. But it is important to remember that this is an imperfect art, just like everything else in the stock market. Not every KP will offer serious support or resistance, so we have to look at some other factors.

E.g., with a KP being tested, we may see MoM peak out (for a green overhead KP), or bottom out (for a red one) at the same time.

That's when we have a possible entry point for a swing trade in the other direction. We can then use that KP as the basis for our stop-loss on such a trade. More on that below.

Next we have Google:

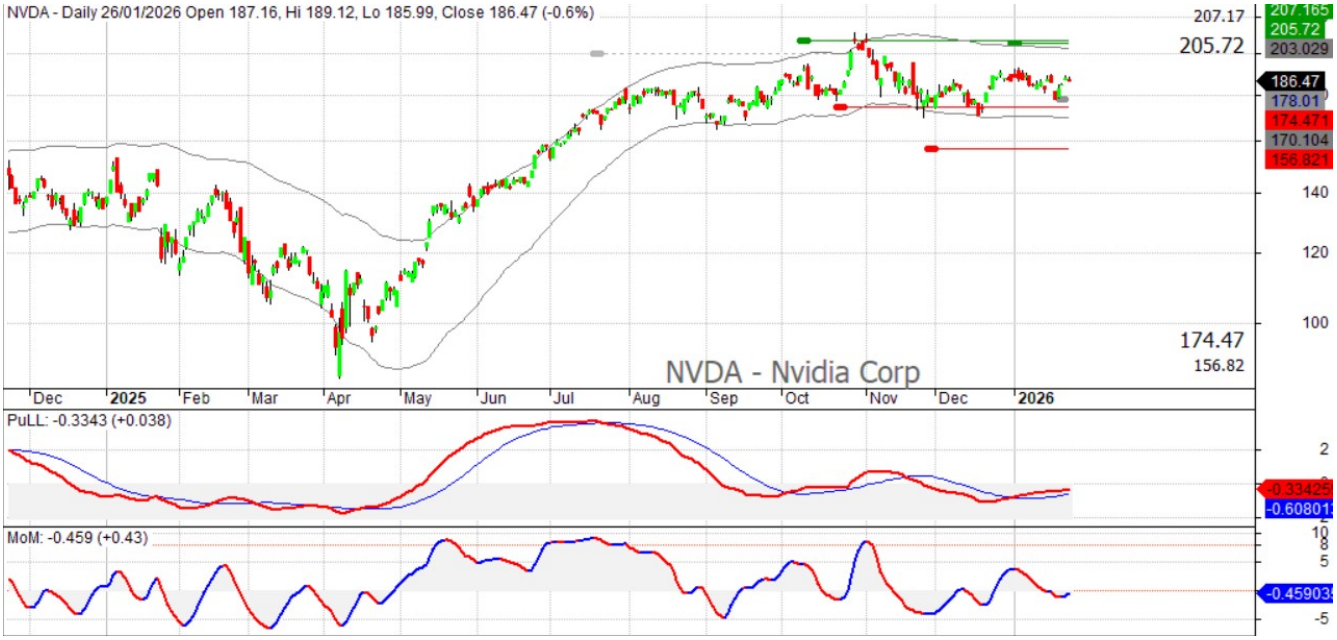
The big dot that starts a new KP is what I call “the stone”. (As you may know I am a great fan of metaphorical thinking and try to bring that in my work: here is more on that topic)

Usually the stone is well above or below the price of the stock when a new KP appears. But not always. When the red stone appeared for GOOG in Jun 2025, the price was almost touching it. That will often indicate “rock bottom” and spring a good rally. In this case GOOG went straight for the KP near $240, took it out, and kept going up.

Conversely a green stone can hit a stock on the head. This is KHC:

The new green stone in Apr 2025 hit right at the price, and that was a proper knock out.

We will not always get a big move when a rock bottom red stone appears, or when a stock is hit on the head with a green stone. That would be too easy. Sometimes it simply leads into a choppy sideways phase. Here is NVDA:



In Oct 2025 a green stone was quickly followed by a rock bottom red stone. And the stock went into a narrow sideways. We could say “between a rock and a hard plate” and the metaphor of the stone still holds.

If you look carefully you can also see that a potential new red stone is appearing in the most recent bars. Right at the price of a few days prior. If confirmed it would be another “rock bottom”.

When this happens the stock is stuck between two closely spaced KP levels just above and below the price action. We may need to adjust our strategy in that kind of situation.

The standard Buy and Sell signals will often not do well in this kind narrow sideways conditions because there is no room to run unless there is a breakout. Speculative buys right at a rock bottom KP with limited risk are then the more obvious tactic to use. (PDF #4 and #7 offer more details and examples)

KP trade setups

Once we know what to look for it becomes easy to spot interesting situations.

It is all about pattern recognition. Here is NFLX:

Knocked on the head with a green stone twice in Oct and Nov. And down it went. It may or may not reach the red KP at $77.9. That remains to be seen.

Of course this are handpicked examples to demonstrate the concepts. But this kind of setups appear over and over. As a general rule, any new stone that appears inside the Envelope (the two grey lines in the price chart) is unusual. New stones in a trending move usually appear well outside the Envelope.

A new stone that appears smack in the middle of the Envelope is even more rare and will often send the stock in a good trending move: up for red stones and down for green stones.

It needs to be mentioned here that when a new stone first appears in the chart, it is not immediately a confirmed stone. It will be explained further on what confirms a stone. So, we may have to wait several days until a potential rock bottom or a knock on the head gets confirmed and prices may have moved some way already.

While the key prices can serve as price targets, the more important use is as entry levels where the odds are in our favor. In the example of MSFT at the start of this article, a red KP is waiting at $422, but that price may get left behind. At the most it can be used as a weakly held price target on the next downswing.

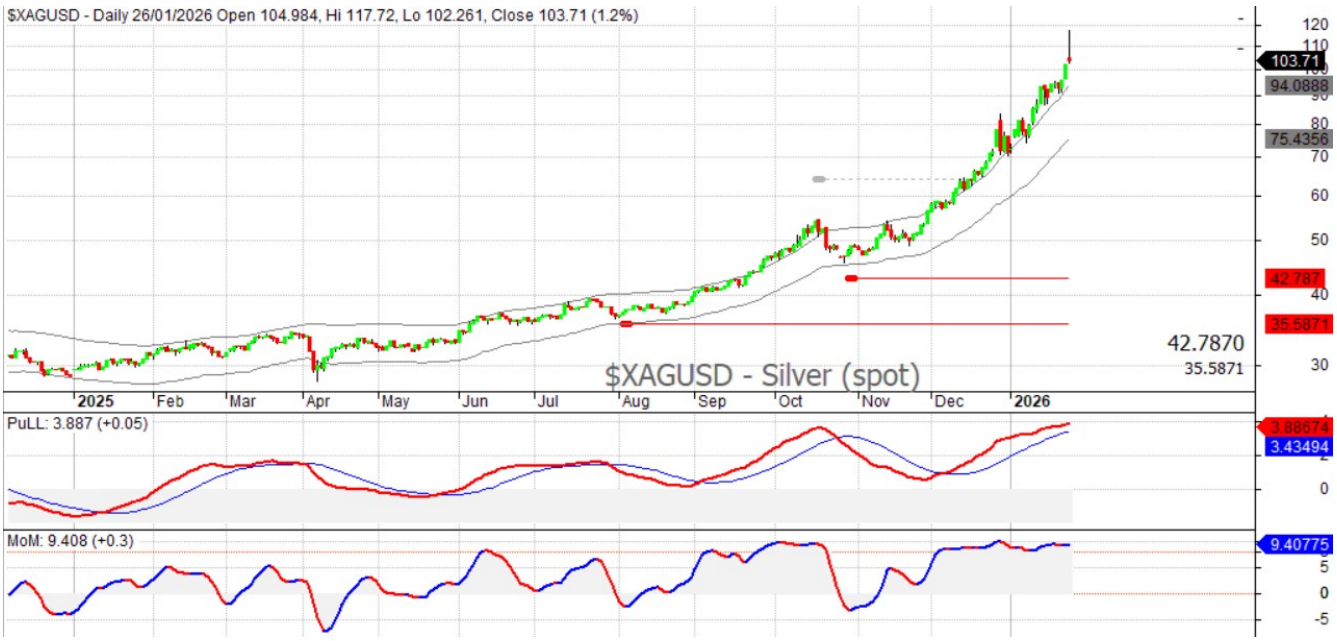
The use as entry points is different. Whenever a KP is reached it can be good entry point for a move in the other direction to start. MoM and Pull indicator can help with that assessment. SpBuy signals or dBuy signals with a stock sitting right on a red KP are great candidates.

Here is how to handle that kind of trade:

> When entering a trade on spBuy signal right on a red KP level we have an instantly useful stop-loss level. We just have to give that trade some breathing room. About 1% or 2% of space below the KP, on a closing basis, is what works best.
>
> That means we can take this type of chances with limited risk.
>
> If a stock closes more than 1 or 2% below a red KP, then it will usually turn into a grey dashed line for the next day. We can then see where the next red KP lines are and reassess our trade.
>
> If the next red KP is too far away, and MoM is turning back down, then support under the current price is questionable and it is better to take that small loss.
>
> Taking 2% losses is never a problem if we can catch a 10 or 20% upswing from a rock bottom red KP level often enough.
>
> So, again it’s all about persistence and obtaining a good batting average. Cut the losses, keep the runners. Use common sense.

Unusual KP situations to know

Occasionally a stock will exceed its last remaining green KP on the upside, or go without any remaining red KP on the downside. A current spectacular example is silver:



Its last remaining upside KP at $64 appeared in Oct and was broken in Dec. When that happens a stock becomes unbounded and can go ballistic. It becomes like a horse out of the barn.

Sooner or later a new KP will appear for silver. Just keep and eye on that chart. It's a great example to learn from right now.

If no red KP remains on the downside then the stock is probably in a very serious decline, or in ongoing waterfall declines. It may be in a terminal decline, so it is best to stay out. If only one red KP remains and it is being tested, then the stock is at a dangerous tipping point.

Another phenomenon that deserves some attention is when the two active KP above or below the market are at near identical levels. It can even happen on both sides. This is TXN:

Two old green KP that predate the start of this chart above, and two red ones below. Both got tested in 2025, but not overcome.

Such a double KP is a bit more of a hurdle, but will also get broken eventually. If you look at the weekly chart for TXN you will see it has been in a sideways range since 2021. That is reflected by the double KP lines in this chart.

This kind of situation is described as a “sleeper” stock in the PDF #3 about the Switch strategy. TXN trades between two brick walls and once it breaks out of that range a large move becomes possible.

It is encouraging here that the most recent low in Nov did not reach down to the KP at $142. But without a breakout above the red KP at $218 nothing is confirmed as far as a possible end to this long sideways goes.

Failed breakouts happen too. When a KP gets broken, the stock will not always continue to climb. It may linger a bit, or even fall back right away. Here we have DDOG:

In Nov the stock surged to new highs for the year, breaking a green KP(now grey) that was just above $180. But the move came up well short of the next KP at $211 and reversed quickly. This is a kind of fake-out or moonshot rally than can exhaust moves.

Look at the indicators. MoM peaked out together with PuLL within a few days of the breakout. And in the Icebergs only a small island painted at that time, with a vulture above. That was a tell that something is not right with this move. Whenever the Iceberg chart does not correlate very well with what is happening, my caution levels go up. This would have been a clear sign to take your profit (if you bought that stock before this wild run) and wait for the next chance.

The same thing can happen on the downside. A red KP can be broken, only for the stock to rebound within days. That too can be attractive setups for an entry, if the indicators support that.

So, there are a lot of finer details to be learned. We can not describe all of them. But you will pick them up by studying this kind of charts over a period of time. Each stock paints a different story.

Unconfirmed KP stones

The red and green stones, and their lines, do not repaint. Once a stone is confirmed, it is written in stone (pun intended). And the eliminated stones do not move either. They will just disappear from the chart as soon as a next KP becomes the last eliminated one and turns grey.

The unconfirmed stones (blueish grey) that appear in the most recent bars are a different story.

There are a few basic facts to understand. New red stones always appear close to a MoM bottom (below -1). And new green stones appear close to a MoM peak (above +1).

The MoM peaks and bottoms that set the currently active stones in this AMZN chart are marked here:

A new provisional stone (blueish grey) has appeared at $229.7. It is right at the price of a few days ago and near the middle of the Envelope, so it's a potential red rock bottom stone, IF confirmed.

In this case it takes MoM to move back above +1 to confirm and cement that stone. If that doesn't happen then the current downswing is not over and the current provisional stone may still be replaced by a lower candidate, depending on what the stock is doing next.

The factors that determine the new stone and its position can not be explained. Call it a secret algo sauce. But all we need to know is that if MoM goes above +1 it will confirm this stone.

The reverse happens with provisional green stones. Then it takes MoM to move below -1 to complete the upswing and cement that stone.

If you go back to the silver chart that was shown earlier on. There is no green KP at the moment and we will only get a new one when MoM falls back below -1. That's when we will know the current huge upswing is completed, and then the green stone will be set. There is not even a provisional stone above the silver price at the moment. But that will come some day.

So, this is important to remember. A provisional stone can and will frequently repaint as long as a given swing is not completed. Below in note #2 is a more detailed example of how that goes.

Notes based on user feedback and questions

1 – Charts are mainly for prospecting and spotting opportunities. When it comes to trading a good candidate we still use the different entry/exit strategies we have, as explained in the other PDF files. For example we may enter near a red KP on a spBuy signal. If that stock goes on to give a regular Buy signal then we can start managing it with the basic strategy (PDF #1), or even with the Switch (PDF #3) if we prefer longer term positions.

2 – As for the provisional stones that appear. If it is a potential red rock bottom, so well inside the Envelope, then it is not unusual to get a standard Buy signal within days. Even though the stone is not confirmed yet, it provides an interesting opportunity.

The red stone in June 2025 for GOOG, as mentioned earlier on, was such a case. GOOG gave a standard Buy signal on June 27, and it became a long running trade ending with a Sell signal on Dec 18. A nice 70% profit.

As a quick aside, note that after the Buy signal on Jun 27 the stock sputtered for a week. That offered good chances to enter with our Opportunist method too (PDF #6).

Here I have marked where the provisional stones appeared along the way, giving a good example of what you will see when your stocks are on the move:

Managing this position we would have gone through this sequence of events after the Buy:

1 – MoM rose above +1 in early July and that confirmed our red rock bottom stone. That's always a good thing, unless we get knocked on the head with a green stone soon after.

2 – Then a first provisional stone (1) appeared, because of that hesitation in the first week. The good news was it was well above the Envelope.

3 – MoM did not fall below -1, so that stone was never confirmed and the stock went higher. Provisional stone(2) appeared in late July. Again well above the Envelope.

4 – It was quickly replaced by (3) a few weeks later.

5 – MoM never even approached the zero line, much less -1, an another stone (4) painted at a much higher level. That's a positive.

6 – This is how we basically climb the stairs in a way. Eventually provisional stone (6) became a confirmed new green stone when MoM dropped below -1 in mid December. It is not visible because it's outside the chart, but indicated by the $385 in the top corner.

7 – A few days later the stock gave a Sell signal and we could take the profit. Those who use the Switch strategy are still holding on, because GOOG stays in a bullish trend (Tr) at the time of this writing.

8 – A new red stone has printed on the Envelope. That's pretty good too. It means the pullback was mild. This could be used to re-enter the stock if you had sold. And for those on the Switch strategy it offered a good new support level, much higher than the previous red bottom line at $162.

9 – A new provisional stone is now on the chart (at $370). It's still above the Envelope, but not as far as the previous stones. We can keep half an eye on it and see how that continues.

The purpose of this exercise is to show that we should not go crazy about the provisional stones that appear. In trending moves they will often come and go. So, there is a typical sequence of events that can only be grasped fully up by watching this type of charts evolve.

4 – The provisional stones do convey some useful information in terms of how far away they are from the Envelope of prices. Provisional stones inside the Envelope are a reason for caution because they can signal an impending trend change, or the start of a sideways phase. That reason for caution goes away if the provisional stone stays unconfirmed and disappears from the chart.

5 – It is not the purpose to overload users with information. Prior experience with our strategies, your preferred time frame, and how much time you want to spend on studying the markets, are all elements that determine if this fits in your toolbox or not.

All our strategies can be used normally without using the key prices.

But even for those who do not intend to give weight to the key prices, it can be useful to have a quick look at them from time to time, e.g. when markets are in turmoil.

6 – No other method like this is publicly available to my knowing. But I am quite sure that several others have discovered this type of framework and are using it internally. It's a kind of "market geometry".

7 – Having something like price targets, or a logical framework on prices, offers psychological advantages for a trader. To save some time I shamelessly asked Grok to collect me some info on that topic.

I can not write it any better, so here goes:

“Yes, there is a real psychological advantage to having a price target in trading and investing.
Price targets (whether your own, from analysts, or part of a plan) provide several key mental benefits rooted in trading psychology:

- They create structure and reduce uncertainty — Markets are inherently unpredictable, which fuels anxiety, fear of missing out (FOMO), or panic selling. A predefined target gives you a clear "finish line" or reference point. Once the price hits it, you have permission to exit (or scale out), which lowers the constant mental debate of "should I hold longer?" or "is this the top?" This acts as a psychological anchor that shifts focus from endless speculation to a rule-based decision.
- They help manage fear and greed in volatile moments — When markets get choppy or "nervous" (sharp dips, news spikes, etc.), emotions spike. A target acts as a pre-committed plan that overrides impulsive reactions. For example:
    - Fear might push you to sell too early on a dip → but if you're still well below your target, the plan reminds you the thesis hasn't broken yet.
    - Greed might tempt you to hold forever chasing more → but hitting the target triggers satisfaction and relief, letting you lock in gains without regret.

  Many trading psychology resources highlight this: predefined profit targets (along with stops) allow traders to "breathe a sigh of relief" because risk/reward is bounded upfront. This directly counters emotional trading by making decisions feel mechanical rather than reactive.
- They promote discipline and process focus — Traders who use realistic, attainable targets (especially smaller "base hit" ones) report lower emotional weight per trade. Each win feels reinforcing rather than stressful, building confidence and reducing anxiety over time. This aligns with ideas like accepting random outcomes per trade while sticking to an edge — expectations become managed, not sky-high.

That said, price targets aren't a magic anxiety cure — they come with potential downsides too:

- Anchoring bias risk — If you fixate too rigidly on a target (yours or an analyst's), you might ignore new information. For instance, holding through deteriorating fundamentals just because "it hasn't hit my target yet" — or selling winners prematurely because the target was reached, missing bigger runs.
- Over-optimism or frustration — Unrealistic targets can amplify disappointment when missed, increasing stress rather than reducing it.

The advantage is strongest when targets are:

- Realistic and based on evidence (technical levels, risk/reward ratios, etc.)
- Part of a written plan (including why you'd adjust or ignore the target)
- Flexible enough to adapt without emotion overriding logic

In short: for most traders, especially retail ones prone to anxiety in volatile markets, a well-thought-out price target often does reduce emotional strain by providing clarity, closure, and a buffer against fear/greed impulses. It's one of the simplest, most effective tools for turning trading from an anxiety-ridden guessing game into a more disciplined process. If you're finding markets nerve-wracking, starting with modest, rule-based targets is usually a smart psychological upgrade."

It is not only key prices that perform this role, but all our strategies, the reversal level, the MoM indicator, are meant to give us a bit more of a grip and some needed structure in trading.

Since price targets offered by analysts are often partially informed by their own positions, we can rest easy that the key prices this method derives are based on sound logic and are realistic, systematically grounded in evidence from recent price action.

8 – Bottom line:

• Key prices can be used as weakly held targets, to be confirmed by other indicators.

• Key prices can be used as favorable entry points, also conditional on other indicators showing a bottom or top (for shorting).

• We can not put the cart before the horse. Forgoing a clear sell signal because we think an upside target will or "should" be reached is dangerous. The key prices should not dwarf our overall trading plan or strategy.

• For people who are new to reversal levels, it is best to negate the key prices until a good comfort zone is found with the chosen methods. We need foundations and walls before we can add a roof.

Additional info February 2026

1 – The provisional stone will sometimes appear outside the current scope of the chart. It is now visible in numerical form too:

A new provisional stone has appeared above the chart, at $138.30.

The current provisional stone (if any) is now always indicated near the middle in italic font, starting with “P: ”. That makes clear it is a provisional stone.

2 – In a healthy up trend, subsequent stones tend to appear at higher levels. That was seen in the example of GOOG.

In sustained down trends the opposite is typically seen. Subsequent stones appear at lower levels.

The rising (or declining) Envelope in the chart will usually confirm the trend. But sometimes that comes to an abrupt end. Here is a current example for ALGN:

An uptrend started in Oct. Two rock bottom red stones have appeared right at the price and in the middle of the Envelope. A positive setup for a continuing rally.

But the latest green stone has set below the previous one, despite the stock's move to a higher high. And that leans a bit bearish, or sideways.

This is a type of divergence. It doesn't automatically mean the stock will drop, but it is not acting right at this point. We can also see that PuLL and MoM started weakening and are showing a bearish divergence.

We can not describe all possible variations. By seeing and studying more charts it becomes second nature to spot this kind of things.

This PDF is still a work in progress. Comments and feedback are always welcome.

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